



Sasken Technologies Ltd (SASKEN)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID — DON'T CHASE

CMP ₹2,338	52W H / L ₹2,359 / ₹991	MKT CAP ₹3,551 Cr	P/E (TTM) VS SECTOR ~60x vs ~30x ER&D	ROE / ROCE 7.2% / 10.2%
PROMOTER (Δ, PLEDGE) 42.95% (-0.1pp; nil pledge)	FII / DII Δ FII 18.5% (flat) / DII 1.1%	BETA ~0.8 (approx)	ADV Elevated – small-cap; verify	NET DEBT Net cash (₹28 Cr debt; large treasury)

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

The Borqs-led revenue doubling (FY26 rev +102% to ₹1,113 Cr) and EBITDA-margin recovery to ~10% have re-rated SASKEN to ~60x at an all-time high; Q1 FY27 (~early Aug 2026) is the binary proof point on whether the doubled run-rate and margin repair sustain.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial Inflection (post-acquisition)	Sustains ~10%+ EBITDA → defends 60x; relapse → 40x de-rate (-30%)	M — rev base likely holds; margin sustain is the swing	~Late Jul / early Aug 2026 (Q1 FY27)

Priced in? Heavily — at 60x P/E / 4.15x book on a 7% ROE the market is already extrapolating full Borqs synergy + sustained ~10% margin + 25%+ organic strategic-account growth. Disappointment, not delivery, is the asymmetric move. · Source: Q4/FY26 results & release, 08 May 2026; Screener (02 Jun 2026)

BULL

₹2,700-2,900

Q1 confirms run-rate, margin pushes >12%, fresh large order → momentum extends (+15-25%)

BASE

₹2,000-2,350

Revenue holds, margin flattish ~10%; stock digests the run, range-bound (-10% to flat)

BEAR

₹1,700-1,850

Products supply-chain drag + margin slip; 60x momentum unwinds to 50-DMA (-20% to -27%)

A genuine business inflection (revenue doubled, margins recovering, debt-free, AI/auto-ER&D positioning) has been met by an even bigger price move — +40% in May to a fresh all-time high — leaving no margin of safety and no scheduled catalyst inside the swing window. The setup rewards patience for a pullback or a fresh order-win, not chasing 60x at the highs.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Order Win	Global auto-OEM instrument-cluster mandate (HMI + middleware + validation)	Multi-year ER&D annuity; anchors Software Services growth	M-H	FY27 ramp	Q4 FY26 release, 08 May 2026
Order Win	Order-book conversion (\$35.4M book; \$21.6M new wins booked)	Each large win re-bases growth vs ₹1,113 Cr FY26 base	M	Ongoing FY27	FY26 results, 08 May 2026
Financial	EBITDA-margin repair beyond Q4's 9.93% (vs 4.78% YoY)	Each +100bps on ₹1,100 Cr ≈ ₹11 Cr EBIT → direct EPS lift	M	Q1-Q2 FY27	Q4 FY26 results
Capital Action	FY26 final dividend ₹13 (₹25/sh total, 70% payout) + AGM approval	~1.1% yield; signals cash confidence, not a re-rater	H	AGM ~Jul/Aug 2026	Board, 08 May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Demand-side	AI / digital-transformation positioning across semis, auto, comms	Optionality; unquantified, narrative-led	L	FY27+	Mgmt commentary / IP

WHAT THE STREET IS PRICING IN

No meaningful formal sell-side coverage (N/A — small-cap ER&D; investor-meet driven). The tape is doing the pricing: at ~60x P/E, 4.15x book on a 7.2% ROE, the market has **already capitalised** full Borqs synergy, sustained ~10%+ EBITDA margin and continued 25%+ organic strategic-account growth. **NOT in the price:** the company's own **cautious Products-segment outlook** (supply-chain dynamics), structurally lower-margin Product Solutions mix, and any momentum unwind from the all-time high.

KEY LEVELS & TRADE FRAME

Entry zone (on pullback — don't chase)	₹1,820–1,960
Stop (below post-result base / ~50-DMA)	₹1,720
Target 1 / Target 2	₹2,150 / ₹2,360
R:R · suggested size	~1:2 · ≤2-3% capital (½ normal)

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	Any growth/margin wobble vs 60x / 4.15x book on 7% ROE	-25% / -35%	H
Momentum unwind at ATH	+40% in May to all-time high; thin small-cap liquidity	-15% / -20%	M-H
Products supply-chain drag	Mgmt-flagged cautious Products outlook	qualitative	M
Margin relapse (mix)	Lower-margin Product Solutions dilutes blended EBITDA	qualitative	M
Account concentration	Few strategic accounts drive organic growth; client deferral	qualitative	M

Levels approx — verify on chart. CMP ₹2,338 sits at/near the ₹2,359 ATH; no favourable swing entry exists here. Frame assumes a buy-the-dip toward the 50-DMA, not a breakout chase.

CATALYST CALENDAR

DATE	EVENT
~Jul–Aug 2026	Q1 FY27 results — primary proof point on run-rate & margin
~Jul/Aug 2026	AGM + FY26 final dividend ₹13 approval / record date (TBA)
FY27 (ongoing)	Order-win disclosures; \$35.4M order-book conversion
FY27	Global auto-OEM instrument-cluster program ramp updates

AVOID

The business inflection is real but fully — arguably over — discounted at 60x on a 7% ROE, with the stock at an all-time high after a +40% month and no scheduled catalyst inside the 1–4 week swing window. Neutral-to-cautious: wait for a better entry. **Flips the call:** a healthy pullback to the ~50-DMA (≈₹1,800) *or* a fresh large multi-year order win that credibly re-bases growth.

MPM · SCREEN — ANALYZE — INVEST

For information only; not investment advice or a solicitation. SASKEN is a small-cap with elevated volatility and thin liquidity — position and stops accordingly. Vendor price/52W data can be stale; figures cross-checked but verify against the latest exchange filing before acting.

Sources: Sasken Q4 & FY26 results / press release (08 May 2026); Business Standard, Angel One, ScanX, Whalesbook, DSIJ (12–22 May 2026); Screener.in consolidated (02 Jun 2026); company investor presentation & concall commentary (FY26).

Generated 03 Jun 2026 · Not investment advice — verify against latest filings before acting.